



**Before the
CONSUMER FINANCIAL PROTECTION BUREAU
Washington, D.C. 20552**

COMMENTS

of the

ANA – ASSOCIATION OF NATIONAL ADVERTISERS

on the

**Proposed Amendments to Regulation V – Protecting Americans from Harmful Data
Broker Practices
Docket No. CFPB-2024-0044**

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On behalf of the Association of National Advertisers (“ANA”), we provide the following comments in response to the Consumer Financial Protection Bureau’s (“CFPB” or “Bureau”) Notice of Proposed Rulemaking (“NPRM”) to amend Regulation V, which implements the Fair Credit Reporting Act (“FCRA”).¹ The CFPB states that the proposed rule seeks “to address when a data broker is covered by the FCRA and to protect Americans from the harms and invasions of privacy created by certain data broker activities that violate the FCRA.”² The NPRM proposes expansive interpretations of definitions created by Congress and approaches to the applicability of the FCRA that would limit the availability and use of data for valuable products and services that clearly benefit consumers. As amendments to Regulation V are considered, the ANA urges the CFPB to recognize the substantial benefits modern data practices offer consumers, businesses, and the economy and to ensure that the rule does not rewrite longstanding understanding of the FCRA in ways that would conflict with the FCRA’s structure as established by Congress, exceed the Bureau’s statutory authority, and unnecessarily curtail these significant benefits.

As America’s oldest and largest advertising trade association, the ANA has long supported the efforts of brands, advertisers, marketing service providers, and countless other entities to provide consumers with access to goods, services, and accurate information they depend on and desire. With a mission to shape the future of marketing, the ANA sets the agenda for the industry, connecting its members to unparalleled expertise, industry-leading resources, and an influential global network. Representing over 1,600 companies – including over 1,000 client-side marketers, 600 marketing solutions providers, and 20,000 brands – ANA members collectively influence \$400 billion in annual marketing spending. By championing the 12-point ANA Growth Agenda and the CMO Growth Council, the ANA drives actionable change, empowers marketers, shapes the marketing ecosystem, and delivers exceptional experiences at every touchpoint. Since 1910, the ANA has been setting the agenda for industry transformation. It enables marketers to advance their ambitions, make better decisions, and create lasting impact for their organizations and the industry. The ANA understands the importance of protecting data about consumers and has long advocated for the passage of preemptive federal privacy legislation, such as that proposed in Privacy for America’s *Principles for Privacy Legislation* (“*Principles*”).³

In these comments, we first describe multiple ways in which consumers and the economy benefit from routine, responsible data uses that fuel crucial products and services in today’s data-driven marketplace, which the NPRM threatens to harm. We next outline limits on the CFPB’s authority to expand the reach of the FCRA’s applicability as proposed in the NPRM given the structure created by Congress in the statute’s clear text and the proposed rule’s substantial economic impact. We then address how specific proposals could impermissibly expand the FCRA’s scope, upend Congress’s intended application of the FCRA, and bring harm to consumers and businesses without commensurate benefits. Finally, we discuss Privacy for America’s *Principles*, which provide a framework for a national privacy standard with key protections for data about Americans that should be passed by Congress.

¹ CFPB, *Notice of Proposed Rulemaking for Protecting Americans From Harmful Data Broker Practices (Regulation V)*, 89 Fed. Reg. 101402 – 101462 (Dec. 13, 2024) (hereinafter CFPB NPRM), located [here](#).

² CFPB NPRM at 101402.

³ Privacy For America, *Principles for Privacy Legislation* (hereinafter *Principles*), located [here](#).

I. The proposed rule will harm consumers by severely restricting common, responsible data uses that benefit consumers, businesses, and the economy alike.

The NPRM proposes sweeping interpretations of several definitions and concepts that would limit the scope of the FCRA. For instance, and as described in greater detail below, rather than retaining the reasonable limits on consumer reports set by Congress, new proposed definitions of “consumer report” and “consumer reporting agency” would bring within the FCRA’s scope essentially any participant in the digital ecosystem and substantially limit those businesses’ ability to offer products and services that benefit consumers and fuel the modern economy. In the NPRM, the Bureau states that it is “concerned that consumer reporting agencies are monetizing consumer report information for use in marketing in ways that the FCRA prohibits” and that the proposed rule is intended to address business practices that have been “designed to evade this restriction.”⁴ However, the proposed rule would go beyond mere clarification of how the FCRA applies to a consumer report and would fundamentally alter the FCRA’s congressionally determined balance and sweep new data and practices into the scope of the law. Ultimately, the NPRM underestimates the harm it would do to the benefits that responsible advertising provides and the chilling effect such a rule would have on beneficial products and services available to consumers.

The Bureau’s proposed expansion of the FCRA’s applicability to virtually all businesses that operate online would unnecessarily harm consumers by hindering their access to information. Consumers rely on the ad-supported digital ecosystem to engage with useful resources, information, and services online at little to no cost. One study shows that low-cost information and services available to consumers through the ad-supported Internet amounts to \$30,000 of value per consumer per year.⁵ Under the proposed rule, businesses that take care to avoid using FCRA-covered data and have never been subject to the FCRA and its requirements would suddenly find themselves unable to subsidize consumers’ access to low-cost information through digital advertising and may turn to subscription-based alternatives. A rise in subscription-based pricing models threatens the egalitarian nature of today’s open Internet and would disproportionately harm consumers with less disposable income by creating significant barriers for accessing crucial information that consumers have come to expect for free or at a low cost. The Bureau’s efforts to substantially extend the FCRA’s reach to previously unregulated entities would upend the sensible framework clearly set by statute and unreasonably limit businesses from connecting consumers with the products and services they desire at the lowest costs without providing any benefits to consumers.

The proposed rule would similarly impede businesses’ ability to effectively compete and offer innovative consumer products and services in the digital marketplace. By bypassing Congress’s structure of the FCRA and categorizing as a “consumer report” data types that have been used in responsible advertising for decades, the proposed approach would cut off market access for numerous businesses that rely on advertising to connect with interested consumers. Such restrictions would be most detrimental to small businesses and startups that rely on data-driven advertising as a cost-effective means to identify audiences for their new and niche

⁴ CFPB NPRM at 101406.

⁵ J. Howard Beales & Andrew Stivers, *An Information Economy without Data*, ii (Nov. 2022), located [here](#).

offerings.⁶ Expanding the FCRA’s coverage would entrench larger, more established market players with dedicated customer bases and create new barriers to entry for startups and small businesses. This approach would ultimately stymie innovation and consumer choice in the marketplace. This impermissibly expansive and unnecessary reading of the FCRA will disrupt healthy competition and, consequently, consumers’ access to an array of innovative products and services that benefit consumers, businesses, and the economy.

II. Judicial decisions limit the CFPB’s authority to issue rules that exceed its statutory authority or regulate issues of vast economic or political significance.

The NPRM’s proposed modifications would rewrite language that is clearly defined by the statute passed by Congress in ways that would disrupt the entire digital marketplace. New overly broad interpretations of “consumer report” and “consumer reporting agency” would fundamentally alter the longstanding application of the FCRA in contradiction with the plain meaning of the statute. Although the term “consumer report” is defined broadly in the statute, it was clearly Congress’s intention to cabin the FCRA’s reach by limiting its applicability to consumer reports used for “permissible purposes.” However, the proposed changes would ignore the well-established balance struck by Congress by sweeping numerous businesses and data types within the FCRA’s expanded scope and could abridge core separation of powers principles, such as the non-delegation and major questions doctrines.

All agency rulemakings must adhere to the non-delegation doctrine, and an agency may not act as a quasi-legislative body absent a direct and clear statutory remit to issue rules.⁷ Additionally, agencies are subject to a new standard of judicial review under the Supreme Court’s *Loper Bright* decision. Rather than deferring to an agency’s reasonable interpretation of an ambiguous statute under *Chevron*, courts must now exercise “independent judgment” to determine whether an agency acted within its statutory authority.⁸ A broad rule regulating an array of businesses and data types for the first time and in contradiction with the longstanding statutory structure established by Congress is highly susceptible to legal challenges under this new standard. Courts applying independent judgment may especially scrutinize the reasonableness of the NPRM’s novel interpretation when it contravenes decades of prior regulator and judicial interpretations of the FCRA’s applicability.

The major questions doctrine similarly constrains the CFPB’s authority to engage in quasi-legislative activities. Under the major questions doctrine, courts “expect Congress to speak clearly if it wishes to assign to an agency decisions of vast economic and political significance.”⁹ The Supreme Court has invalidated agency regulations under the major questions doctrine when the regulation involves an agency “asserting highly consequential power beyond what Congress could reasonably be understood to have granted.”¹⁰ Extending the FCRA’s reach far beyond the application Congress intended – a change that would disrupt data-driven advertising in the digital marketplace and the entire modern economy – would involve a major

⁶ *Id.* at 8-9.

⁷ *West Virginia v. EPA*, 597 U.S. 697, 736-37 (2022).

⁸ *Loper Bright Enters. v. Raimondo*, 603 U.S. 369, 412 (2023).

⁹ *Utility Air Regulatory Group v. EPA*, 573 U.S. 302, 324 (2014).

¹⁰ *West Virginia v. EPA* at 724.

question of economic or political significance that could only be addressed through Congressional action.

By proposing interpretations that would suddenly bring under the FCRA’s ambit countless entities that interact with data about consumers in virtually any manner, the proposed rule would essentially outlaw responsible, data-driven advertising across the economy. For instance, the proposed changes would make several data types, such as credit header and financial tier data, a *per se* “consumer report” and, consequently, the entities that disclose this data “consumer reporting agencies.” Virtually all entities processing this data would be regulated under the proposal despite this data traditionally being regulated under the FCRA only when used for certain permitted purposes already determined by Congress. An overly expansive rule imposing severe advertising restrictions on numerous participants in the digital ecosystem would have detrimental economic implications that would run afoul of the major questions doctrine.

Congress has not delegated to the CFPB the authority to broadly reinterpret the FCRA and unsettle decades of interpretations that have reasonably restricted the statute’s application to businesses that engage in the uses of consumer reports that Congress intended to be regulated. If Congress has identified a harm that should be remedied by changes to the FCRA, Congress may do so as its members have been democratically elected to establish obligations and requirements related to issues of great economic or political significance. The CFPB should reconsider its proposal to better align with the FCRA as established by Congress and to avoid engaging in regulatory overreach that may face scrutiny under the non-delegation and major questions doctrines.

III. The proposed regulations would exceed the CFPB’s authority by rewriting statutory definitions and interpretations that upend the applicability of the FCRA.

Several of the NPRM’s proposed modifications would rewrite the FCRA’s foundation by bringing an unprecedented number of businesses within its regulatory reach. Congress intentionally limited the FCRA’s scope when it premised applicability on an entity’s use of data for certain enumerated permissible purposes. Yet the proposed approach would evade this clear statutory structure to make essentially any data a consumer report. The proposed amendments should be updated to align with the clear text of the FCRA and longstanding Bureau interpretations of the FCRA’s applicability to businesses that engage in certain uses of covered data.

a. The NPRM would create a strict liability framework for any data supplier.

The proposed rule would fundamentally alter the definition of “consumer report” by broadly interpreting the term “is used” to include the actions of all downstream recipients of financial data, even if the initial data supplier took steps to prevent the use of data for a permissible purpose. Specifically, the rule would provide that data “is used for a [permissible purpose] if a recipient of the information uses it for such a purpose.”¹¹ The NPRM makes clear

¹¹ 12 C.F.R. § 1022.4(b) (proposed).

that the data provided by a business would be subject to the FCRA as a consumer report if *any* recipient uses the data for a permissible purpose, “irrespective of whether the person furnishing the report could have reasonably expected the use or took steps to prevent it.”¹² This approach would conflict with the structure Congress established. Moreover, such an interpretation would diverge from other interpretations under federal law, including decade-old Federal Trade Commission (“FTC”) staff guidance stating that information should not be deemed a consumer report “by virtue of uses beyond the entity’s control,” including when “the entity supplying the report has taken reasonable steps to [ensure] that the report is not used for [a permissible purpose], and if it neither knows of, nor can reasonably anticipate such use.”¹³

As a result, the NPRM’s reinterpretation of “is used” would flip the existing application of the FCRA on its head by making data providers furnishers of consumer reports and strictly liable for all downstream uses of data, even if the provider has taken reasonable steps to prevent the use of the data for purposes regulated by the FCRA. The proposed rule would create significant uncertainty for virtually all participants in the digital ecosystem, who could now find themselves unexpectedly subject to FCRA regulations based on data recipients’ actions that the data provider cannot know of or even reasonably prevent through contractual or other safeguards intended to prohibit inappropriate data uses. Rather than determining the purposes for which an entity agrees to share data, entities would now need to guess whether the data being shared could potentially be used for an FCRA permissible purpose by some recipient at some time. When faced with this uncertainty, and coupled with the expansion of what information constitutes a “consumer report” discussed below, businesses may be forced to assume that they are a consumer reporting agency and to cease engaging in previously permitted responsible data uses to avoid unintentionally violating the FCRA. The proposed rule should move away from a strict liability regime that would chill businesses’ participation in the digital economy, hinder their ability to offer beneficial products and services to consumers, overturn well established agency interpretations, and frustrate Congress’s design of the FCRA.

b. Disclosures of certain basic data elements would now automatically be considered a consumer report, even if those data elements are not used for purposes regulated by the FCRA.

The proposed approach would further depart from the FCRA’s statutory structure and longstanding interpretations of “consumer report” by making certain data, such as “income or financial tier,” a consumer report, regardless of the purposes for which the data is used. The proposed rule would establish two tests for determining when data “is expected to be used” for a permissible purpose. Under one proposed test, even if never used for a permissible purpose, the following data types would be deemed a *per se* consumer report: (i) credit history; (ii) credit score; (iii) debt payments; and (iv) income or financial tier.¹⁴ The NPRM assumes that these data elements should always be considered a consumer report because data providers “should know that such information is typically used in determining a consumer’s eligibility for credit,

¹² CFPB NPRM at 101409.

¹³ Federal Trade Comm’n, *40 Years of Experience with the Fair Credit Reporting Act: An FTC Staff Report with Summary of Interpretation* at 22 (July 2011) (hereinafter, *FTC Staff Report*), located [here](#).

¹⁴ 12 C.F.R. § 1022.4(c)(2) (proposed).

and therefore should expect that such information will be used for an FCRA purpose.”¹⁵ However, this assumption ignores the way Congress cabined the FCRA’s applicability to certain uses and the myriad other common, responsible uses of some of these data elements that are unrelated to the uses traditionally regulated by the FCRA.

Basic demographic data, like income range, has been used for well over a century to help deliver advertising based on the interests of individuals and their potential ability to purchase a product. Consumers benefit from personalized advertising that helps to ensure that consumers receive fewer irrelevant advertisements and to connect consumers to information about the products and services in which they are most likely to be interested and can afford. For instance, income tier data may be used to alert individuals of relevant savings offers or to prevent individuals from being inundated with advertisements for products outside their budgets. It also allows companies to target their advertisements based on their ideal consumer, such as budget or luxury brands that use this information to advertise efficiently to different consumers at various income levels. These beneficial uses are entirely separate from the credit and eligibility purposes that Congress intended the FCRA to regulate. In contrast to the approach taken by Congress in the statute, the NPRM’s interpretation would automatically treat income or financial tier data as a consumer report, and consequently the businesses that disclose such data to deliver efficient advertising would become consumer reporting agencies subject to FCRA restrictions, even if this data is never actually used for an FCRA purpose. This approach undervalues the benefits consumers receive from non-FCRA uses of these data types, and subverts the balance that Congress struck when it defined “consumer report” so broadly and limited the scope of the law to when such data is used for a permitted purpose.

c. The Bureau’s treatment of “personal identifiers” and credit header data as a *per se* consumer report breaks with longstanding agency interpretation and would hinder businesses’ ability to provide critical services to consumers.

The proposed rule would significantly restrict businesses’ ability to use credit header data by expanding the definition of “consumer report” to include “personal identifiers” that are collected “in whole or in part for the purpose of preparing a consumer report . . . regardless of whether the communication contains any information other than the personal identifier.”¹⁶ Personal identifiers would be defined to include several basic data types that often appear as “credit header data,” including a consumer’s: (i) current or former name, including any aliases; (ii) age or date of birth; (iii) current or former address; (iv) current or former telephone number; (v) current or former email address; (vi) Social Security Number (“SSN”) or Individual Taxpayer Identification Number (“ITIN”); or (vii) any other “similar” personal identifier.¹⁷ The proposed inclusion of “personal identifiers” would transform credit header data into consumer reports overnight, contrary to decades of court precedence, FTC guidance, and market practice.

The FCRA clearly defines “consumer report” as “any written, oral, or other communication of any information by a consumer reporting agency bearing on a consumer’s credit worthiness, credit standing, credit capacity, character, general reputation, personal

¹⁵ CFPB NPRM at 101413.

¹⁶ 12 C.F.R. § 1022.4(d)(1) (proposed).

¹⁷ *Id.* § 1022.4(d)(2) (proposed).

characteristics, or mode of living which is used or expected to be used or collected in whole or in part for the purpose of serving as a factor in establishing the consumer's eligibility" for certain benefits.¹⁸ The FTC has long excluded credit header data from the scope of the FCRA because, "unless such terms are given an impermissibly broad meaning," this data does not bear on any of these statutory factors.¹⁹ Courts have reaffirmed this position in judicial decisions,²⁰ and the FTC has continued to advance this interpretation in reports acknowledging beneficial uses of credit header data outside of eligibility determinations, such as "to reduce the risk of identity theft and credit card fraud" through the use of verification tools that "enable[] database users to detect attempts at wrongful use of Social Security numbers."²¹

Credit header data is not inherently used for credit or eligibility determination, and, consistent with the approach taken by courts and the FTC for decades, it should not automatically be assumed that the disclosure of such information would be used for an FCRA purpose. Such a fundamental alteration is not warranted by a significant change in potential consumer harm and would only serve to threaten longstanding identity verification and fraud prevention protections that consumers receive from existing products and services, in fact leading to *more* consumer fraud and harm.

The CFPB has not established any change in the market that would support overturning decades of guidance from both the courts and regulators. The sudden shift in the NPRM's proposed approach to credit header data would upend entities' ability to engage in common data practices and force the public and consumers to take on the burden of increased fraud. For example, government and private sector entities alike use this data to verify individuals, protect consumer identities, and reduce fraud for government benefits and private transactions. Among the biggest beneficiaries of anti-fraud tools that rely on credit header data are state and federal agencies that administer benefits to the public.²² Removing these tools from the marketplace would further enable criminals to defraud the American taxpayer.

d. The proposed regulation of de-identified data threatens to eliminate well-established, reasonable business practices and diverges from the treatment of de-identified data under agency guidance and state privacy laws.

The NPRM proposes three standards that would treat certain de-identified data as a consumer report subject to the FCRA's use restrictions. The FCRA defines a consumer report as information about a "consumer," which in turn is defined as "an individual."²³ Although the NPRM acknowledges that FTC guidance interprets these terms to include information that can

¹⁸ 15 U.S.C. § 1681a(d).

¹⁹ *Individual Reference Services v. Federal Trade Commission*, 145 F. Supp. 2d 6, 17 (D.D.C. 2001) (quoting *In the Matter of Trans Union Corp.*, Docket No. 9255, Feb 10, 2000, at 30); see also Federal Trade Comm'n, *Individual Reference Services – A Report to Congress* (Dec. 1997) (hereinafter *FTC Report to Congress*), located [here](#); *FTC Staff Report* at 1, note 4.

²⁰ *Individual Reference Services v. Federal Trade Commission*, 145 F. Supp. 2d 6, 17 (D.D.C. 2001) (quoting *In the Matter of Trans Union Corp.*, Docket No. 9255, Feb 10, 2000, at 30).

²¹ See *FTC Report to Congress*.

²² See, e.g., Office of California Governor Gavin Newsom, *EDD Recovers \$1.1 Billion in Unemployment Insurance Funds, with More Investigations and Recoveries to Come* (Jun. 21, 2022), located [here](#).

²³ 15 U.S.C. § 1681a(c).

“reasonably be linked” to a consumer, the NPRM states that this reasonably linkable standard “alone may not be sufficiently protective of consumer reporting information that, while nominally de-identified, may in fact be re-identifiable.”²⁴ Each of the three standards would curtail businesses’ ability to engage in long established market practices that depend on de-identified data as an input.

Under the first proposed approach, “[d]e-identification of information [would not be] relevant to a determination of whether the definition of consumer report . . . is met.”²⁵ This approach would significantly expand the scope of a consumer report by bringing *all* de-identified data that otherwise meets the elements of a consumer report within the FCRA’s reach, regardless of a businesses’ efforts to de-identify. The NPRM explicitly recognizes that this approach would “constrict or eliminate the availability of de-identified information from consumer reporting databases for policy analysis and development, research, advocacy work, model and risk score development, and market monitoring.”²⁶ Moreover, a bright-line rule bringing all de-identified data within the scope of a consumer report would prevent businesses from using this data to develop products and services that benefit consumers, such as those related to identity verification and fraud prevention. It would also read the term “consumer” out of the definition of “consumer report” against the clear direction of Congress.

The NPRM’s second alternative approach would consider de-identified data to be part of a consumer report if the data “is still linked or linkable to a consumer.”²⁷ Although this standard would provide more flexibility than the first proposed approach, this standard would diverge from the “reasonably linkable” standard used in FTC guidance²⁸ and state consumer privacy laws.²⁹ An approach that omits “reasonably” would fail to account for the technical difficulty of re-identification efforts and would apply FCRA restrictions to any data that could conceivably be linked back to a consumer through any means, even if such techniques would be cost-prohibitive or a data provider implements reasonable safeguards to prevent the data from being re-identified. The proposed rule would also bring under the FCRA’s scope data that has been considered de-identified under the applicable laws and regulations upon which businesses have already designed their data practices. Thus, de-identified data that businesses have relied upon to develop beneficial consumer products and services could be newly subject to use restrictions that would prevent businesses from continuing to offer those products and services.

In the third proposed alternative, de-identified data would constitute a consumer report if at least one of the following conditions is met: (i) the information is “still linked or reasonably linkable to a consumer;” (ii) the information is “used to inform a business decision about a particular consumer, such as a decision whether to target marketing to that consumer;” or (iii) a person that “directly or indirectly” receives the data identifies the consumer to whom the data

²⁴ CFPB NPRM at 101420.

²⁵ 12 C.F.R. § 1022.4(e) – Alternative 1 (proposed).

²⁶ CFPB NPRM at 101421.

²⁷ 12 C.F.R. § 1022.4(e) – Alternative 2 (proposed).

²⁸ See *FTC Staff Report* at 11, 21.

²⁹ See, e.g., Cal. Civ. Code § 1798.140(m) (defining “deidentified” as “information that cannot *reasonably* be used to infer information about, or otherwise be linked to, a particular consumer provided that the business that possesses the information takes *reasonable* measures to ensure that the information cannot be associated with a consumer or household”) (emphasis added); Colo. Rev. Stat. § 6-1-1303(11) (similarly defined); Conn. Gen. Stat. § 42-515(13) (similarly defined).

pertains.³⁰ Although the first prong of this alternative would adopt the “reasonably linkable” standard, the other two prongs would still significantly restrict well-established, reasonable uses of de-identified data. For instance, the NPRM makes clear that under the second prong Zip+4 Code data would be considered reasonably linkable and that a business’s disclosure of income information aggregated at the Zip Code-level would be considered a consumer report if used to target marketing to a consumer.³¹ Given that the FCRA prohibits consumer reports from being furnished for general marketing and advertising activities, a de-identification standard that transforms this data into a credit report would effectively ban businesses from engaging in commonplace, responsible advertising uses. The third prong, which would consider de-identified data as a consumer report if a direct or indirect data recipient reidentifies the data, would essentially negate the “reasonably linkable” standard by creating a strict liability regime for any re-identification. Under this approach, the determination of whether de-identified data is considered a consumer report would turn entirely on the uses of data by downstream recipients, regardless of the data provider’s intentions, knowledge, or efforts to prohibit data from being re-identified.

The cumulative effect of each of these approaches would be to prevent the disclosure of de-identified data for any non-permissible purposes under the FCRA, including for the development of identity theft and fraud prevention tools or general marketing and advertising activities. Many businesses rely on the use of de-identified data for research, fraud prevention, and analytics that helps them to develop innovative products and services that directly benefit consumers. The ANA urges a return to an approach that implements a de-identification standard similar to that adopted by the FTC and state privacy laws, which companies have integrated into their existing offerings.

e. The proposed modifications would effectively prohibit the use of consumer reports for any advertising and marketing purposes other than prescreened offers of credit.

The NPRM’s proposed expansion of the concept of “furnishing” a credit report would impose significant new advertising restrictions that will severely limit businesses’ ability to connect with consumers in the modern data ecosystem. The FCRA does not allow credit reporting agencies to “furnish” consumer reports to third parties unless for a statutorily enumerated “permissible purpose.”³² The NPRM proposes to clarify that credit reporting agencies may not rely on the FCRA’s “legitimate business need” purpose for advertising and marketing cases.³³ Moreover, proposed limits on the circumstances under which a credit reporting agency may rely on a consumer’s written instructions would hinder businesses’ ability to use consumer consent as a permissible purpose for advertising and marketing uses, especially given that entities may not have a direct relationship through which they can obtain such consent.³⁴ As a result, the NPRM’s proposed approach would effectively prohibit any consumer reporting agency from “furnishing” a consumer report for advertising or marketing purposes.

³⁰ 12 C.F.R. § 1022.4(e) – Alternative 3 (proposed).

³¹ CFPB NPRM at 101423.

³² 15 U.S.C. § 1681b.

³³ CFPB NPRM at 101433.

³⁴ 12 C.F.R. § 1022.11(b) (proposed).

The NPRM would define “furnish” to include facilitating the mere *use* of consumer report data for a third party’s financial gain, which contrasts with prior approaches to this concept that focus on the disclosure of consumer report data.³⁵ Under the NPRM a consumer reporting agency would “furnish” a consumer report when it helps a third party engage in an advertising or marketing campaign, even if the third party never accesses the underlying consumer report data.³⁶ For instance, the NPRM explains that merchants that want to advertise based on income might provide target audience attributes to consumer reporting agencies that would then use consumer report data to identify and deliver advertisements to target audiences. The NPRM identifies this common business practice as a “technological and contractual workaround” that would not be permitted under the proposed rule.³⁷ However, by the plain meaning of the FCRA, providing financial tier information for advertising is not compiling or furnishing a consumer report because the data is not used for a permissible purpose. When paired with the proposed expansion of “consumer report” and, by extension, the number of entities and data types that would be regulated as “consumer reporting agencies,” this change would prevent virtually any company from engaging in responsible, efficient, and effective data-driven advertising. An overly broad interpretation of foundational FCRA concepts goes beyond the CFPB’s statutory authority and the intent of Congress, and would harm businesses and consumers alike by impeding small and start-up businesses’ ability to connect with new customers, eliminating market efficiencies, raising consumer costs, and limiting consumer choices in the market.

IV. The concerns identified in the NPRM should be addressed through preemptive federal legislation that protects Americans’ privacy interests.

Rather than moving forward with its proposed modifications, which would unreasonably extend the application of the FCRA beyond what Congress intended, the CFPB should consider supporting Congress’s passage of a preemptive national privacy law that includes clear protections for data about consumers. The ANA understands the importance of safeguarding personal information about American consumers and has long championed industry self-regulatory efforts and preemptive comprehensive privacy frameworks that would protect these interests.

The ANA has demonstrated its commitment to protecting data about consumers through its *Ethics Code of Marketing Best Practices* (“*Ethics Code*”), a set of generally accepted principles of conduct for the advertising industry to promote responsible data stewardship.³⁸ The *Ethics Code* provides meaningful protections for financial data by including prohibitions on the use of automated systems for marketing and advertising purposes to make ineligibility determinations or to impose adverse terms and conditions of employment, credit, housing, health care, education admissions, financial aid, or insurance. These self-regulatory efforts show that the ANA and its members have a dedicated history of supporting consumer choices and responsible data uses.

³⁵ 12 C.F.R. § 1022.10(b)(2).

³⁶ CFPB NPRM at 101427.

³⁷ *Id.*

³⁸ ANA, *Ethics Code of Marketing Best Practices*, Part VI, Art. 2 at 53, located [here](#).

The ANA also supports the passage of preemptive privacy legislation with safeguards for financial data, such as that set forth in Privacy for America's *Principles*. The *Principles* include a prohibition on the use of data to make eligibility determinations about employment, credit, insurance, health care, education, financial aid, or housing not otherwise authorized by law. Such an approach would clearly prohibit data practices that make financial data vulnerable to misuse, place the FTC on the beat to enforce those restrictions, and preserve the myriad consumer benefits that come from responsible data use – including benefits derived from responsible advertising and critical fraud and identity verification services.

A comprehensive, preemptive approach like that set forth in the *Principles* represents the best path forward to enact strong privacy protections for data about consumers. Due to the far-reaching impacts the proposed changes to the FCRA would have on the Internet ecosystem, such regulations should be properly established by democratically elected members of Congress. Despite the Congressional effort over the past two sessions to pass a preemptive national privacy standard that would address safeguards for data about consumers, the NPRM attempts to circumvent these efforts through an overly broad rule that would impact enormous swaths of the U.S. economy. The CFPB should refrain from updating Regulation V in ways that would overreach the authority delegated to it by Congress and could interfere with Congressional efforts to implement comprehensive federal legislation that better serves Americans' privacy interests as a whole.

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Thank you for the opportunity to submit comments on these important topics. Please do not hesitate to contact us with any questions regarding this submission.